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PSYC100

Emotion and decision-making

Today
Welcome to your next lesson: Emotion and decision-making.

I'm preparing your personalized lesson based on what you've already learned, what's coming up next, and the best way to build your skills.

Step by step, you’re moving forward.

Yesterday we talked about loss aversion: losing $100 hurts more than gaining $100 feels good. That emotional “ouch” can push people to avoid risks, even when the math says the risk is fair or even good.

Today we’re going to look at a famous experiment where people make money decisions over and over again, and their feelings start to guide them before they can explain why. This is the Iowa Gambling Task.

Ron, quick check-in: when you’re trading and see a position going red, which impulse feels stronger in you usually —

to cut the loss quickly or to hold/“revenge trade” to make it back?

to cut

Nice, that “cut the loss” impulse is actually a good anchor for today. That’s your emotional signal trying to protect you. 🎯

Let’s set up the Iowa Gambling Task (IGT) in a super simple way:

Imagine 4 decks of cards: A, B, C, D
Each pick: you win some money, but sometimes you also lose
Two decks are secretly good (small wins, small losses → profit over time)
Two decks are secretly bad (big wins, but even bigger losses → you lose over time)

You don’t know which is which at the start. You just keep picking, trying to make as much money as possible.

Let’s do a tiny version. 🎲

You have $0. You’ll make 4 picks. No right answer yet, I just want your instinct.

Pick 1: which deck would you choose — A, B, C, or D?

b

Nice, Deck B for your first pick. 🅱️

You win $100 from Deck B. But this deck also sometimes hits you with a big loss (we'll see later if B is "good" or "bad" overall).

You're now at $100.

Next instinct pick — no overthinking, just your gut again:

Pick 2: A, B, C, or D?

a

Nice, Deck A this time.

This round you also win $100, but A, like B, hides some big occasional losses. You're now at $200 total… but building some hidden risk.

We'll keep this short: again, just go with your gut, no strategy talk yet.

Pick 3: A, B, C, or D?

c

Good switch to C 👍

This time you win $50. Deck C (and D) usually gives smaller wins and smaller losses. Over many picks, those kinds of decks tend to be safer.

Right now your rough path looks like:

B: +$100
A: +$100
C: +$50
= about $250 (ignoring hidden losses for the moment)
Last one in our mini-game — again, just your instinct, not a plan:

Pick 4: A, B, C, or D?

b

Nice, back to B.

Now I'll reveal the pattern we were pretending was underneath:

Decks A & B:

Often: + $100
Sometimes: − $1,250 (huge hit)
Over time: you lose money overall
Decks C & D:

Often: + $50
Sometimes: − $250 (small hit)
Over time: you make money overall

So A/B feel exciting (big wins), but C/D are actually better long-term — like safe, steady trades vs. flashy, risky ones.

In the real experiment, people start to feel something like:

“Those A/B decks make me nervous” before they can say “A/B are mathematically bad.”

Make sense so far that the game is secretly testing whether emotion helps people avoid the bad decks?

Yes, that makes sense

Take a look at this short video of the Iowa Gambling Task 👇

Watch how people’s choices change over time:

At first, they sample all decks
Then they start avoiding the bad decks
Their body reacts (sweaty palms, tension) before they can explain why
When you think about your own choices in our mini-game — did any deck feel a bit riskier or safer to you yet, or did they all feel the same so far?

They all felt the same

Perfect, that’s actually very similar to how most people feel at the start of the real task — all decks just look like “cards and money” at first. 🎰

Here’s the key idea I want to add now:

Your body can start reacting to bad choices before your conscious mind figures out the pattern.

In the real Iowa Gambling Task, researchers measured tiny changes in sweat on the skin (skin conductance). After a while:

People’s palms reacted (tiny stress signal) when their hand moved toward the bad decks A/B
This happened before they could say “these decks are bad”
Later, they also started choosing the good decks more

So their emotional “gut” signal got there first, and then their conscious understanding caught up.

I want to connect this to you directly next:

When you’re trading and you do get that “cut it” feeling — do you notice any body signal with it (tight chest, faster heart, tension in jaw, etc.), or is it more like a quick thought with no body feeling?

yeah tension

That tension you feel is exactly what this lesson is about. 🎯

Step by step, here’s the picture:

Somatic marker (fancy term):

A body signal (like tension, gut drop, sweaty palms) that your brain uses as a quick

"good/bad" tag for a choice.

In the Iowa Gambling Task, people's bodies start sending a "bad idea" signal (tiny stress response) when they move toward the losing decks, before they can explain the math. Your trading tension is the same kind of thing: a fast body warning that might say, "This is about to go wrong — get out."

I want to show you a quick visual next so it's clearer: a simple graph of how body tension rises near bad decks over time.

Would you like to see that as a visual, or go straight to how brain damage changes this (people who don't get that warning tension)?

Show me the visual

Here's a visual of what we've been talking about 👇

As people keep picking cards, the body tension line for bad decks (A/B) slowly goes up
The good decks (C/D) line stays pretty low and flat
Notice the dashed line: people only realize and can explain "these decks are bad" after their body has already been reacting for a while

So the sequence is:

Try random decks
Body starts warning near bad decks (tension, tiny sweat response)
Only later: "Oh, I see, these decks lose money long term"
Does this match how your own tension feels when you're about to make (or stay in) a bad trade — body warning first, clear thought second?

Body tension as early warning in the Iowa Gambling Task

Yeah, it's similar

That similarity is important — it means your system is already doing what this experiment shows: letting your body flag danger before your thinking brain fully explains it. ⚡

Next key step in the lesson: in some people with damage to a specific front area of the brain, this body-warning system is broken. They don't feel that "tension" signal, and they keep picking from the bad decks even when they say they know they're bad.

Before we go there, quick check:

Is it clear so far that in the Iowa Gambling Task, rising body tension near bad decks is evidence that emotions can help decision-making, not just mess it up?

Body tension as an early warning in the Iowa Gambling Task

Yes, that's clear

Great. Let's add one more piece, using a simple picture.

Researchers looked at people with damage to the ventromedial prefrontal cortex (vmPFC) — a spot on the front underside of the brain that helps connect body signals with decisions.

In the Iowa Gambling Task:

People with a normal brain:
Body tension builds near bad decks

They slowly avoid A/B and shift to C/D
People with vmPFC damage:
Almost no tension signal near bad decks
They keep picking from A/B, even after they can say “these decks are bad”

So: same knowledge, different body signal → totally different choices.

Thinking of yourself:

Have you ever known a trade was probably bad, but because the body tension wasn’t strong (or you ignored it), you still took it or stayed in it?

I'm not sure

That “I’m not sure” is honest — a lot of this happens fast and under the radar.

Let’s slow it down and make it concrete with a simple structure you can reuse:

Before a risky trade, check 2 channels:

Thoughts → “Does this make sense?”
Body → “What is my body doing right now?”

Very simple body checklist you can run in 5 seconds:

Jaw: relaxed or tight?
Chest: open or heavy/tight?
Stomach: calm or “drop”/nausea?
Hands: steady or shaky/tingly?

If 3–4 of those are in “alarm” mode and the trade is marginal, that’s your Iowa Gambling Task moment — your own version of the skin-conductance warning.

Want to do a quick multiple□choice question to lock in what the Iowa Gambling Task actually showed about these body signals?

Yes, let's try it

What do you think the best answer is? Take your time and pick one 👇

In the Iowa Gambling Task, what was the strongest evidence that emotional “gut feelings” help guide decisions before conscious awareness?

A.

Players reported which decks were bad only after losing a lot of money.

B.

Players with vmPFC damage could describe the rules of the game correctly.

C.

Skin-conductance (sweat) signals increased when players approached bad decks, before they could explain which decks were bad.

D.

Most players said they trusted their intuition more than logic during the game.

Exactly right 🎯

That skin□conductance result is the core evidence: people’s bodies (tiny sweat changes) reacted to the bad decks before they could say which decks were bad. That shows:

The body’s emotional “warning system” starts guiding choices earlier than conscious awareness.

The other options are interesting, but they don’t prove that unconscious gut feelings are helping decisions — the sweat signal does.

To lock this into real life:

Next time you’re about to enter or hold a sketchy trade, try noticing:

“Is my body giving me an Iowa□Gambling□Task□style warning right now?”

Want to do one last quick thing: try writing one real□life decision (trading or not) where you listened or didn’t listen to a gut feeling, and what happened? Just a sentence or two.

ive made quite a few questionable trades where tension was high warning me but my will or ego pushed to make therm anyways. Generally its when im not following my ruleset and just goin with the trend

That’s a very clear pattern you’ve noticed — and it fits this research almost perfectly.

Step by step, here’s what you described:

Body signal: tension is high → your “somatic marker” saying, “This is off.”
Cognitive signal: you know you’re breaking your ruleset.
Override: will/ego + “just go with the trend” → you do it anyway.
Outcome: usually a questionable trade.

So in your case, the problem isn’t that you don’t get gut warnings — it’s that your “vmPFC system” is working, but your ego system is louder in the moment.

A simple visual rule you could test:

If:

I feel strong body tension
AND I’m not following my written rules

Then: I must not enter/hold the trade — full stop.

Almost like a red light you pre□commit to.

Would you be up for trying that “red light” rule for just one week and seeing what changes in your trading decisions?

Yes, I'll try it

I like that plan a lot — you’re basically turning your tension signal into a hard risk rule instead of just background noise. 💡

To close this lesson, here’s your one simple “homework” task for the week (trading or

everyday life):

Log 1 real decision where your gut spoke up.

Just jot down:

Situation: what was the decision?
Body: what did you feel (tension, tight chest, etc.)?
Action: did you follow the signal or ignore it?
Outcome: how did it turn out?

You can send it to me later and we'll dissect it like an Iowa Gambling Task round.

You've got the key idea down:

Iowa Gambling Task → body reacts to bad decks before awareness
Skin conductance/tension = early warning
Your trading tension is that same system in real life

When you're ready, we can move on to the next psychology lesson, or stay here and dig deeper into how to use emotions without letting ego hijack them. What do you want to do next?

im ready to move on

Nice work, Ron 🎯

You've locked in the core idea:

In the Iowa Gambling Task, emotions and body signals (like tension/sweat) start warning us about bad choices before we can explain why — and that early warning can actually improve decisions.

You also connected it directly to your trading:

You feel tension when you're about to break your rules
That tension is your own "Iowa Gambling" signal
You're testing a red-light rule: if tension is high and you're off your ruleset → no trade
That's exactly how to turn psychology into a real edge, not just theory.

You're all set on this lesson ☑
When you're ready, go ahead and start the next lesson in General Psychology, and I'll keep walking through it with you step by step.